

UNIVERSITY OF GHANA



**A CORPORATE SOCIAL RESPONSIBILITY PRACTICE IN THE GHANAIAN
EXTRACTIVE INDUSTRY; IN THE CASE OF TULLOW OIL GHANA COMPANY LTD.**

BY

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**THIS LONG ESSAY IS SUBMITTED TO THE UNIVERSITY OF GHANA, IN
PARTIAL FULFILMENT OF THE REQUIREMENT FOR THE AWARD OF A
BACHELOR OF SCIENCE DEGREE IN ADMINISTRATION.**

(ACCOUNTING OPTION)

JUNE, 2024

CERTIFICATION

I confirm that this extensive essay was completed under the guidance of Dr. Emmanuel Tetteh Asare, adhering to the established research protocols set forth by the University of Ghana.

.....

.....

DR. EMMANUEL TETTEH ASARE

DATE

(Academic Supervisor)

DECLARATION

I, Joshua Borketey Kattah, affirm that this extensive essay represents my independent scholarly contribution toward earning a Bachelor of Science degree in Administration. This work is original, and no portion of it has been previously submitted for a degree at this university or any other institution. All sources consulted throughout this essay are meticulously cited.

.....

.....

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DEDICATION

To God be the glory, I humbly dedicate this long essay to the Lord Almighty, from whom all wisdom flows. My heartfelt thanks go to my family, whose unwavering love and support have been my constant companions throughout this journey. Special recognition goes to my parents, whose prayers, guidance, and unwavering encouragement fueled my spirit. Their belief in me even when I doubted myself is a gift I will forever cherish. I would also like to express my sincere appreciation to Dr. Emmanuel Tetteh Asare for his invaluable guidance and kindness. His mentorship and expertise have played a significant role in shaping this work. May God's blessings be upon you all.

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ABSTRACT

Corporate social responsibility is the main focus of this research work, which is a critical issue in the discussion about the Ghanaian extractive industry. This study aims to examine the corporate social responsibility practices of Tullow Oil Ghana Company Ltd. and how they contribute to assessing the company's overall performance. The study uses a qualitative approach, specifically the Meaning Oriented Content Analysis (MOCA) method, to analyze and explore Tullow Oil Ghana Company's 2022 Sustainability and CSR report for major themes and sub-themes relating to corporate social responsibility practices.

The study reveals that Tullow Oil Company's CSR initiatives focus on protecting biodiversity and water conservation, maintaining good climate change and waste management, protecting health and safety as well as the human rights of employees, and developing the communities to enhance sustainable development. Additionally, the study identifies environmental framework standards such as the Global Reporting Initiative (GRI), Sustainability Accounting Standards Boards (SASB), the Environmental Management System (EMS), and the International Council on Mining and Metals (ICMM) that Tullow Oil Ghana Company Ltd adheres to in its operational activities.

This study has made a noteworthy contribution to academia, policymaking, and industry by thoroughly examining the corporate social responsibility practices of Tullow Oil Ghana Company Ltd. The study underscores the significance of corporate social responsibility business practices in the extractive industry of Ghana. It applies the legitimacy theory to environmental standards of CSR practices in academic settings, thereby establishing fundamental criteria for corporate social responsibility practices in industry. Policymakers can leverage the tools outlined in this study to create sustainability reporting and CSR programs. Moreover, the study has utilized a portion of a company's sustainability and CSR report to reflect its actual CSR efforts.

CHAPTER ONE

INTRODUCTION

1.1 Background of the study

In recent times, policymakers and scholars have expressed considerable intrigue in the widespread recognition of Corporate Social responsibility practices within the extractive industry, specifically focusing on the mining sector (Amoah, 2021). The notable surge of the extractive industry in natural resource prices since the mid-2000s has resulted in increased revenues for both established and developing countries with abundant resources. However, this has given rise to a noticeable disparity between the aspirations of citizens for better living standards and greater economic prospects, (Amoah and Eweje, 2020; Acosta, 2013). Mining plays a crucial role in fostering economic growth and development, as emphasized by Okyere et al. (2021). Although the mining sector significantly contributes to Ghana's economic progress, there exists a contrasting viewpoint suggesting that the advantages stemming from the extractive industry are counterbalanced by adverse effects on the environment and public health, as highlighted by Chinnaiah (2012). Corporate social responsibility is a subject of increasing interest in business practices and business research (Lee, 2008; Taneja, & Gupta, 2011). Despite the growing interest in this topic, there is still no general agreement on the precise meaning of Corporate Social Responsibility. Instead of being a consistent concept, CSR is an umbrella term that encompasses various overlapping areas, such as corporate citizenship, stakeholder theory, business ethics, and corporate sustainability (Freeman & Hasnaoui, 2011).

Consequently, while prior research has investigated Corporate Social Responsibility (CSR) practices within the extractive industry, there exists a gap in understanding regarding how resource governance and community social investment concerns impact local communities situated in

offshore oil and gas projects. Furthermore, the extensively discussed notion of the resource curse thesis within the oil sector necessitates comprehending how the CSR initiatives undertaken by extractive firms address the perceived "curse" within developing nations, as outlined by Andrews (2013). In particular, while earlier studies have explored CSR practices within Ghana's extractive industry, these inquiries have primarily centered on the CSR supply-side dynamics, neglecting due consideration of community expectations concerning the benefits derived from resources, as indicated by Mohammed et al. (2022). Hence, the objective of this paper is to analyze how resource governance influences the well-being of local communities and to evaluate the anticipations of stakeholders regarding the advantages stemming from resources in relation to the CSR interventions carried out by oil companies in Ghana. The extractive industry, which includes activities such as mining, and oil and gas extraction often raises concerns about its environmental impact and effects on local communities. As such, understanding the CSR initiatives of companies operating in the sector is crucial for sustainable development. Also, In November 2018, Tullow Ghana launched a scholarship program aimed at supporting students pursuing studies in Science, Technology, Engineering, and Mathematics (STEM) at Kwame Nkrumah University of Science and Technology (KNUST) in Kumasi. The initiative is part of Tullow's efforts towards socio-economic development. Notably, half of these scholarships were awarded to students from the Western Region. This program is referred to as the Tullow STEM Scholarships and was introduced to promote educational advancement in these key fields (Tullow STEM Scholarships, 2020). The study focuses on exploring CSR practices within the Ghanaian extractive industry, particularly focusing on Tullow Oil Ghana Company.

1.2 Problem Statement

Corporate Social Responsibility (CSR) practices have ignited extensive discussions and research viewpoints encompassing a spectrum of opinions. Within sectors including mining, agriculture, production & manufacturing, and services, valid rationales have been presented to substantiate the imperative for these companies to actively partake in socially responsible initiatives. This arises from the necessity to address the impacts of their operations that directly impair both the community and the environment in which they function (CSR Network, 2011; Bebbington and Larrinaga, 2011; Jenkins and Obara, 2006). The exploration, extraction, and processing of mineral resources constitute activities recognized for their significant environmental and social impacts, making them among the most disruptive operations conducted by businesses (Peck & Sinding, 2003). Over the past four decades, numerous environmental catastrophes and violations of human rights, frequently associated with the extractive industries, have fueled an escalating public apprehension regarding corporate conduct (Warhurst, 2001). However, despite the acknowledged concerns and heightened scrutiny, there is a notable gap in understanding how these industries can effectively mitigate their adverse effects on the environment and society while maintaining profitable operations.

1.3 Research Purpose

The purpose of this study is to examine the corporate social responsibility practices in Ghana's extractive industry, focusing on the Tullow Oil Ghana Company Ltd.

1.4 Research Questions

The study aims to address these inquiries within the context of the research goals:

1. What are the key areas Tullow Oil Ghana Company Ltd focuses on for their corporate social responsibility practices?

2. How does Tullow Oil Ghana Company perform corporate social responsibility practices?

3. Why does Tullow Oil Ghana Company focus on these key areas highlighted in corporate social responsibility activities?

1.5 Significance of the Study

The study focusing on Corporate Social Responsibility (CSR) practices within the extractive industry, specifically centered on Tullow Oil Ghana Company, is highly significant. Extractive sectors, like oil and mining, play pivotal roles in national economies while carrying notable social and environmental impacts. Investigating CSR practices in this context, particularly in a prominent player such as Tullow Oil, provides insights into how companies address their societal and environmental obligations. Tullow Oil Ghana Company's CSR efforts are of particular importance due to their potential to mitigate the adverse outcomes of extractive operations. These practices cover diverse areas, including community advancement, ecological preservation, and engaging stakeholders. The study offers valuable insights that can help extractive industries, such as Tullow Oil, to enhance their Corporate Social Responsibility (CSR) strategies. This will enable them to effectively address environmental and societal concerns, promoting long-term sustainability, better links with nearby communities, and improved engagement with stakeholders, investors, and customers. Extractive industries that prioritize adhering to international standards and best practices tend to have a better reputation among their stakeholders. In policymaking, the study will assist policymakers in improving upon regulations in battling unique problems in extractive activities, thereby implementing suggested policies that give a balance between social and economic concerns.

1.6 Organization of The Study

The study is a five-chapter organized paper. Following Chapter, one as discussed above, the rest of the chapter is discussed below

In the second chapter of the study, the emphasis is placed on the conceptual examination, preceding the theoretical analysis. The conceptual literature serves the purpose of addressing the research inquiries. Furthermore, the study delves into the theoretical literature review, aiding in the interpretation of the data in relation to the research questions. The theoretical literature explores the quality of disclosures, relying on general stakeholder theory and positive/managerial factors related to the company's financial information as the foundation for the investigation. Another segment of the literature review centers on the empirical literature concerning the topic, providing definitions for the different concepts within it. Chapter three is dedicated to outlining the methodology and approach employed in conducting the study. Chapter Four encompasses a thorough examination of the data, its interpretation, and the resulting findings. In chapter five, conclusions are drawn and recommendations are put forth, catering to policymakers and providing directions for future research endeavors.

CHAPTER TWO

LITERATURE REVIEW

2.0 Introduction

This chapter begins with a detailed review of the literature regarding conceptual, empirical, and theoretical aspects of Corporate Social Responsibility and Corporate Social Practices in the Ghanaian extractive industry. In this context, identified gaps are highlighted and focused on. A series of studies have indicated several contributing factors to corporate social responsibility and corporate social performance such as economic, social, and environmental contributions reviewed in this chapter. In this chapter, we delve into various theories that assist in comprehending corporate social responsibility in the extractive industry. The section also analyzes relevant theoretical and empirical literature supporting this study.

2.1 Concepts of Corporate Social Responsibility

Over time, the concept of corporate social responsibility (CSR) has continued to improve significantly. It has been the subject of considerable debate, commentary, theory-building, and research. CSR remains a dominant, if not exclusive, term in the academic literature and business practice. (Schwartz & Carroll, 2010). Carroll & Shabana (2010), Visser (2008) and Baughn et al. (2007) assert that Corporate Social Responsibility both in concept and in practice has a different understanding of dynamic people and firms. From an academic standpoint, authors including Keith Davis, Joseph McGuire, Adolph Berle, William Frederick, and Clarence Walton started developing definitions of corporate social responsibility (CSR) and conceptual work regarding what it implies in theory and practice in the 1960s (Carroll, 1999). "Carroll's CSR Pyramid is probably the most well-known model of CSR," according to Dr. Wayne Visser. (Visser, 2006). Carroll's four-part definitional framework for corporate social responsibility (CSR), which

includes the economic, legal, ethical, and discretionary (philanthropic) expectations that society has of corporations at a given point in time, has been used by numerous scholars to study CSR. Also, various researchers who have extensively studied CSR practices worldwide have backed the following description of the phenomenon “CSR is how companies manage the business processes to produce an overall positive impact on society” (Baker, 2004, p.2) and “the obligation of businessmen to pursue those policies, to make those decisions or to follow those lines of action which are desirable in terms of the objectives and values of our society” Bowen, (1953, p. 6) cited in Gond and Moon, (2011).

In 2001, the European Union (EU) described and defined CSR as a practice whereby businesses voluntarily choose to make contributions to a better society and a cleaner environment (European Commission, 2011). However, only 10 years later, this definition was revised in 2011 with the main purpose of enhancing corporate social responsibility impact. EU as a result, it was changed to emphasize that businesses should be accountable for their influence on society, and CSR is a strong way to achieve sustainable development. (European Commission, 2011). CSR practices of an organization promote social good and it goes beyond the interests of shareholders and exceeds those prescribed by law (Waldman et al., 2006). CSR could be fully in line with the interests of shareholders and even increase the value of the firm. However, maximizing firm value is not necessarily the same as maximizing shareholder welfare (Hart and Zingales, 2017).

2.1.0 Corporate Social Responsibility Practices

The word "CSR" refers to an organization's contributions and outcomes (Sarmiento, 2008; Carroll, 1999; Carroll, 1979). It is intimately tied to how businesses operate and how that affects the environment. The idea of CSR is now widely acknowledged by both large and small businesses. It promotes policies and procedures that guarantee businesses to operate in a rational and socially acceptable manner, which is thought to be essential for their survival and expansion (Crane et al., 2014). Additionally, the part that CSR plays in a company's environment development enables significant contributions to the neighborhood where it operates. Generally, CSR practices are self-regulated actions that a business can adopt to be more socially accountable to its stakeholders and the public in general. Knowledge is rather limited about the degree to which developing country firms engage in CSR practices and the drivers of these practices as well as their impact on firm performance and civil societies. The few available studies in developing countries have, however, revealed distinct differences between triggers of CSR practices in these countries. (Babarinde, 2009; Jamali & Mirshak, 2007). Previous studies have outlined how Non-Profit Organizations work with firms to improve CSR practices. NGOs may accredit or certify that goods meet their established standards under certification schemes (Tachizawa & Wong, 2014).

2.1.1 ISO 26000

The standard was issued by the International Organization for Standardization which was developed in 2005 to enhance the scope of the concept of Corporate Social Responsibility (CSR). To promote more effective global trade, ISO was focused on creating technical standards for goods and procedures intended for organizations that develop and implement economic, social, and environmental CSR activities. "Today ISO remains the "de facto monopoly" over most domains of international standardization" (Florence & Routledge, 2012) It provides a guideline that helps

organizations carry out their activities in compliance with social and environmental requirements and also in harmony with their priorities. (ISO 26000, 2022). This study aims to examine Tullow Oil Ghana's CSR procedures by utilizing the ISO 26000 Social Responsibilities. Additionally, the study will explore the correlation between Tullow Oil's CSR practices metrics and the company's success in terms of social responsibility and economic performance. The ISO 26000 standards will be used as a guide for this investigation.

2.1.2. ISO 14001

The ISO 14001 is an environmental standard established by the International Organization for Standardization. The concept of CSR practices for the standard was introduced to protect the environmental management system (EMS) and minimize environmental impact. Akter et al., (2012) suggest that certain industries, especially SMEs are less willing to address their environmental impacts due to poor comprehension of the resultant economic benefits of direct environmental action - such as the adoption of an EMS to their business. A framework of EMS research specifically targeted at developing countries is proposed by Hansen et al., (2015) in response to the call for greater interaction between academics, governments, and industries made by Velazquez et al., (2000) and Padfield et al., (2014a). The framework is centered on strong collaboration between academic research and non-academic stakeholders and incorporates input from actors from across the supply chain, including those in developed and developing countries.

2.2 Dimension of Corporate Social Responsibility.

James Brusseu initially viewed corporate social responsibility (CSR) in two ways, depending on the viewpoint. First, he saw it as a general term for any philosophy of the corporation that emphasizes both the responsibility to produce money and the need to "interact ethically" with the

local community. Second, as a specific idea for a business to make money while contributing to the welfare of the community. He continued by stating that Carroll's CSR pyramid, created by Archie Carroll, contained the following four requirements of businesses. According to Carroll, he brought about the four-part definitional framework of CSR and these definitional frameworks focus on the dimensions of CSR. This pyramid of CSR includes;

Economic responsibility as proposed by Carroll (1979) businesses or firms should be able to provide a return on investment to owners and shareholders; creating jobs and providing remuneration for workers. There should be promotion of technological advancement, innovation, and the creation of new products and services.

Legal responsibility, the second part of the four definitions of the dimension spells out rules and regulations that firms must oblige to. From this vantage point, society anticipates that business will carry out its economic mission within the bounds of the rules established by the societal legal system. However, while regulations may effectively compel businesses to address a problem, it is challenging to guarantee that they are administered fairly (Pratima, 2002).

Ethical responsibility as the name suggests is a firm being moral and doing what is right as expected of a firm (Solomon, 1994).

The final responsibility defined by Carroll is discretionary. Extractive industries should have the aim and purpose of giving back to society for their well-being. Businesses engage in philanthropic responsibilities to society for the people of the society to have an interest in the activities of extractive operations and engage in CSR practices.

2.3 Empirical Review

This section of the paper is a major area of interest within the field of corporate social responsibility. The views and perspectives have been studied by many researchers using the corporate social responsibility and corporate social performance of the extractive industries in Ghana. Some decades ago, Margolis and Walsh criticized the field of CSR for its “preoccupation with instrumental consequences” and, therefore fail to see the social impact of CSR and the “underlying tensions between the social and economic imperatives that confront organizations” (2003:280).

In the 1950s a modern era of CSR was launched. However, the 1950s were marked by generic CSR talks even though the definition of the CSR concept wasn't a major focus during this time. Howard Bowen, in his 1953 book "Social Responsibilities of the Businessman," was the proponent of corporate social responsibility (CSR) during his time. He asked a crucial question: “What responsibilities should businesspeople reasonably take on for society?” (Bowen, 1953, p.6).

2.4 Background of Ghanaian Extractive Industry

The Ghanaian Extractive Industry joined the commercial oil producers in the world on December 15, 2007. The extractive industry is a significant contributor to Ghana's socio-economic development, as stated by Oppong and Andrews in 2020. The experiences of Ghana as a Petro state have attracted attention from around the world, with US President Barack Obama recently stating that Ghana continues to be a "good news story" and praising the country's achievements (quoted in Growth Green Agriculture, 2013 p.8). The mining industry in Ghana makes up 5.7% of GDP and almost 40% of foreign exchange earnings, according to Idemudia et al. in 2020.

As stated by Computed Quarterly Digest of Statistics of the Bank of Ghana, the extractive sector holds the highest annual average growth rate of 25.6% over 2007–2019 and constitutes the leading foreign exchange earner, accounting for about 67.0% (36.4% from gold and 30.6% from oil) of total export earnings in 2018. The extractive sector has the second highest average basic hourly earnings with its capital intensity of extractive activities in 2015 and provides indirect jobs through upstream and downstream extractive activities. According to estimates, the extractive industry supports 1.5% of all employment and roughly half a million jobs in upstream and downstream operations, directly employing about 173,000 Ghanaians. (Computed from the seventh round of the Ghana Living Standards Survey, 2016/17). The issue has instead been how equally distributed the economic benefits of extractive operations have been, especially in terms of gender. The discovery of natural resources across Africa, as mentioned by Kotsadam and Tolonen (2016), gives millions of poor people optimism, however, there are concerns about a potential rise in gender inequality in economic prospects with mining.

2.4.0 Upstream, Midstream, and Downstream of Extractive Industries.

Upstream, midstream, and downstream are the three segments that make up the oil and gas business. The activities involved in the exploration and production of hydrocarbons are the main emphasis of the upstream. Drilling wells, looking for subterranean hydrocarbon accumulations, and producing those resources are some of these activities. In contrast, the downstream industry is primarily focused on turning produced raw hydrocarbons into useful and marketable goods. Refining petroleum crude oil, processing natural gas, and distributing refined goods including gasoline, jet fuel, diesel oil, heating oil, fuel oils, and lubricants are all examples of downstream activities. The transportation, storage, and sale of crude oil, refined petroleum products, natural gas, and petrochemicals are all included in the midstream industry. Various modes of

transportation and logistics are used to move the various products, including pipelines, rail, barges, oil tankers, and vehicles. (Furman et. al, 2017).

2.4.1. Background of the Tullow Oil Ghana Company Ltd.

Tullow Oil is a multi-national oil and gas exploration company that made a profitable impact and contributions in Ghana and its operations began in the year 2006 in Ghana. It is an African leading oil and gas, exploration and production group. Tullow Oil a year later, was the first world-class Jubilee field discovered and first oil achieved in late 2010. The Jubilee Oil Field was discovered in the Gulf of Guinea's Tano Basin. Expansion and exploration of this Oil company led to the success of the Jubilee Field. However, the company continued to explore and develop oil and gas in Ghana. This exploration of oil and gas widely contributed to Ghana's Petroleum Industry. The significant milestone marked Ghana's history which emerged as a new player in West Africa's energy industry. Tullow Oil plc has been listed on the Ghana Stock Exchange since 2011. Through an ambitious "Value Maximization Plan," Tullow and its Partners will invest over \$4 billion over this decade, resulting in the construction of over 50 wells and reliable revenue for both Tullow and the Government of Ghana. Tullow started a multi-year, multi-well drilling campaign in April 2021. Jubilee received the delivery of two producers, one water injector, and a workover in 2021. A gas injector was turned upstream at the Ntomme Field on TEN. (Tullow Oil Ghana Company Ltd, 2022)

2.4.2 Vision & Strategy of Tullow Oil Company

The oil and gas company pursue great vision, core values, skills, and strategies toward the development and exploration of these natural resources in Ghana. This exploration of these resources has a great positive impact on society as well as the socio-economic development of the

country. These values include; respect, diversity, equality, and, transparency (Tullow Oil Ghana Company Ltd, 2022).

2.5 Theoretical Review

The theoretical review in this section supports the theory of the research study which discusses the relevant theories based on the extractive industry of Tullow Oil Ghana Company Ltd. Several theories have been used to explain and examine the concept of theory. The theory underlies the lens of the theory of Legitimacy and Stakeholder theory.

2.5.0 Legitimacy Theory

Legitimacy theory emphasizes that organizations continually attempt to ensure that they are perceived as functioning within the bond and norms of the society in which they operate (Deegan 2019). Legitimacy is critical because it ensures the continuous flow of resources and the continued support of the organization's stakeholders (Pfeffer & Salancik, 2015). Legitimacy theory posits that society allows organizations to exist only if their activities are perceived to be legitimate. These activities are defined by a social contract between the organization and society that defines society's norms of socially acceptable organizational behavior (Deegan, 2014; Gray et al., 1996; Shoker and Sethi, 1974). By adopting corporate social responsibility (CSR) initiatives and CSR reporting, one or more of the legitimization strategies proposed by Lindblom (1994) can be used. As an example, firms typically prefer to share positive CSR behavior rather than bad news (Gray et al., 2010). CSR activities in the extractive industry, in particularly Tullow Oil Ghana as a means to manage legitimacy, gain approval among relevant audiences, and ensure firm survival and continuation of operations within society (Deegan and Unerman, 2011; O'Donovan, 2002; Suchman, 1995). Dyball et al (1998) describe two approaches to CSR disclosures that the government uses in the regulation of the operation of the extractive industry. Strategic legitimacy

as a government policy can be chosen as a means for regulators to signal commitment toward the norms of socially acceptable behavior by the society in which it operates. Importantly, legitimacy is managed not only via the strategic actions undertaken by the government but also from an institutional legitimacy perspective, which is rooted in the idea that legitimacy is gained by the organization becoming isomorphic with its environment (Meyer and Rowan, 1977).

Suchman (1995) talks about three types of organizational legitimacy of industries (Tullow Oil Ghana Company). They include pragmatic legitimacy, moral legitimacy, and cognitive legitimacy. Pragmatic legitimacy talks about the self-interest of the firm. (Suchman 1995). Concerning the context of the study focus, Tullow Oil Company's corporate social practice is aligned with the pragmatic legitimacy theory idea, whereby society perceives the company as legitimate in light of the benefits society derives from the firm. Whereas, moral legitimacy depends on the “the right thing to do” by a firm for the wellbeing of its society. Moral legitimacy overviews a firm’s activity toward the effectiveness of societal welfare. Cognitive indicates whether the shape a firm is achieving its outputs is the best technically, the most efficient, and the most effective. As compared to the extractive industry, mostly the mining sector, has neglected the destruction of disastrous activities to the environment and the effects it has on it. This only demonstrates that a company's accomplishment and success depend on how they conduct themselves by social norms (Brown and Deegan, 1998). Based on these underlying presumptions and beliefs, this study intends to use the legitimacy theory as a theoretical foundation to investigate the extent to which the corporation is attempting to preserve, acquire, or draw legitimacy. Also, different scholars have different perspectives on legitimacy theory based on the three-legitimacy strategy. These strategies include; Image enhancement, avoidance deflection, and disclaimer.

2.6 Chapter Summary

This section examines and looks at viewpoints of CSR concepts, and reviews critical empirical and theoretical literature on legitimacy theory about CSR practices of Tullow Oil Ghana Company Ltd. In addition, the chapter reviews the operation of the extractive industry as compared to the well-being of the society.

CHAPTER THREE

METHODOLOGY AND METHODS

3.0 Introduction

This chapter explains various methodologies and methods used in gathering data and analysis relevant to the research. The methodology and methods pinpoint an overview of areas such as philosophical assumptions, sampling techniques, population of the study, data collection methods, and analysis.

3.1 Philosophical Assumption

According to William (2023), research is any organized inquiry designed to and carried out to provide information for solving a problem. Philosophy simply means the use of abstract ideas that inform this research. Philosophical assumptions are the analytical base that help to conform to the study employed and are typically the first ideas in developing a study. (Denzin and Lincoln, 2011, p.12). Most research is based on or is in line with the philosophical assumptions in their research framework which tells researchers the stand of their research. Burrell and Morgan's framework of philosophical perspective which is employed in this study is formed from two independent dimensions based on philosophical assumptions. These dimensions include the nature of social science and the nature of society respectively. (Burrell and Morgan, 1979). There must be a philosophical stance in every starting point of a research process using a research paradigm. (Ragab et al., 2018). Philosophical assumptions provide the framework for understanding qualitative research methodology for the research problem. Therefore, the philosophical stance employed in the context of qualitative research of this study includes ontology, epistemology, and axiology where each concept of this assumption seeks to answer a different question of the observed phenomenon through a different perspective (Palagolla, 2016). Similarly, the phrase

"philosophical perspective" refers to the philosophical stance that guides and determines the research methodology (Crotty, 1998).

3.1.1 Ontology

Ontology is the “nature of reality even if the relevant phenomena are not observable.” (Patil, & Giordano, 2010). In research, ontology is the philosophical study of being. Furthermore, Ontology describes what can be known and what exists (Crotty & Michael, 2003). While a variety of definitions of the term ontology have been suggested, this paper will use the definition first suggested by Bryman, (2008) which “relates to the values a researcher holds about what can be known and what someone believes to be factual”. It also describes what we believe can exist, what we consider to be fundamental. A researcher may be positivist or interpretivist (normalist) based on their ontological assumptions. (Guba and Lincoln, 2000; Beryman, 2019). According to Gray (2013), a positivist assumes that the world exists independently and knowledge is objective and quantifiable. Positivism places a stronger emphasis on considering facts and raw data without being influenced by subjective human interpretation, emphasizing the importance of information in general (Scotland, 2012; Saunders et al., 2012) On the other hand, for an interpretive, there are several realities and different views that are constructed socially and there are various ways to access them. Researchers need to clarify their stand about their perception of reality and how things function (Scotland, 2012). Researcher's views, beliefs, knowledge, and philosophical assumptions are always interconnected with the research undertaken by them (Mack, 2010). According to this theory, the world is made up of independent of the researcher, objectively supplied things and structures (Hirschheim, 1985). Similar to positivism, interpretivism has its historical roots in philosophy. As positivism identified by Guba and Lincoln, Flick asserts that Interpretivism argues that knowledge is subjective and historically rooted based on people’s mindset, experiences, and

understanding. However, the researcher will use a nominalist-ontology approach to answer study questions with specific instances as a priority. This aligns with the study objectives of analyzing events and experiences for a deeper understanding.

3.1.2 Epistemology

Epistemology is a philosophical assumption that deals with “the nature of knowledge, its possibility, scope, and general basis” (Hamlyn, 1995; p. 242) as cited by Crotty (1998; p.8). Similarly, Maynard (1994) as cited by Crotty (1998: p.8) gave an oversight that “epistemology is concerned with providing a philosophical grounding for what kinds of knowledge are possible and how we can ensure that they are both adequate and legitimate”. This assumption also talks about how knowledge is studied. Burrell & Morgan, (1979); Niehaves, (2005) explained epistemology as a science that studies how people process information about what they perceive to be real. As it relates to how a researcher can determine between right and wrong and how they interpret the world around them, epistemology is regarded as an internal aspect of the researcher (Scotland, 2012). Crotty, (1998) focused on two sub-strands of epistemology which are objectivism and subjectivism. The objectivism strand of epistemology presumes that social entities exist externally to the social actors who are concerned with their existence while subjectivism is a term used to describe knowledge that is the justified belief of an individual believer or a community of believers. Within the framework of epistemology, subjectivism recognizes that people's interpretations and beliefs influence how they understand the world. By adopting subjectivism, the researcher recognizes that internal elements such as personal viewpoints and group beliefs influence knowledge. This viewpoint emphasizes the impact of individual and group perceptions on the process of creating knowledge. Due to that, subjectivism would be the philosophical assumption stance employed in this research.

3.1.3 Axiology

Axiology is a philosophical assumption that deals with “the nature of values and the foundation of value judgments” (Sexton, 2003). Similarly, research axiology refers to the researcher's understanding of values and their role in research. It further examines values dealing with right or wrong issues and measures the development level of a researcher as well as the research concerned. Lee & Lings, (2008) posit that axiology is the aim of research that clarifies or predicts the world. Axiology has two sub-divisions highlighted by Burrell & Morgan, (1979) namely; determinism and voluntarism. Voluntarism is a philosophical assumption whereby researchers believe that human has the free right to interact and influence the environment within them. They also make decisions and choices taking precedence over intellect and are always independent on their own.; on the other hand, determinism posits that the position of the human is completely determined by the environment around him and they are mainly dependent (Burrell & Morgan, 1979). All the same, both assumptions are highly concerned with the nature of the human being which is vital to the researcher's study. Hence, the study adopts Burrell and Morgan's stance on voluntarism philosophical assumptions because, in the extractive sector, voluntarism encourages autonomous corporate decision-making that, despite legal constraints, permits flexibility and creativity for beneficial, long-term effects.

3.2 Research Methods

Research methods are more closely tied to the data-collecting and analysis processes used to create and advance knowledge (Kothari, 2004). However, there are two types of these methods namely; qualitative and quantitative research methods. In qualitative methods, research depends on words that can be generally explained in detail rather than figures (quantification) (Strauss and Corbin, 1990). Furthermore, qualitative data includes exploratory, descriptive, or narrative forms of text

(Gulati, 2009). The quantitative research method applies mathematical models and statistical methods for data analysis and explores phenomena by gathering quantifiable data in numerical form rather than in words (Creswell, 2013). Quantitative research often uses variables in analyzing data and yielding results in a predictive or confirmatory manner (Williams, 2011). The study focuses on and uses the qualitative research method, which is one of these two types of methodologies, to examine data in the context of the notions of corporate social responsibility activities in firms. Based on the study of corporate social responsibility practices of the extractive industry (Tullow Oil Ghana Company Ltd) the data examines the thematic analysis and content analysis to find patterns and themes that emerged from the data, which is the reason why a qualitative technique was used for this study (Taylor-Powell and Renner, 2003; Braun and Clarke, 2006).

3.3 Population Study

Polit and Hungler (1999:37) refer to population study “as an aggregate of all the objects, subjects or members that conform to a set of specifications and are to the interest of the researcher.” The population study focuses on the extractive industry of oil and gas in Ghana.

3.4 Sampling Technique

Sampling is the process of choosing a portion of a population to study to determine its characteristics as a whole. In business, medical, and agriculture research, sampling is widely used for gathering information about a population (Kish, 1965 & Robert, 2004). Creswell, (2012) defines sampling techniques are procedures used in research and data collection to choose a portion or sample of people, things, or data points from a broader population. With the aid of sampling procedures, researchers can obtain representative samples that can produce reliable and generalizable results in a variety of research domains. Thus, the study uses the selective sampling

technique in choosing Tullow Oil Ghana Company as it provides a clear and credible illustration of businesses in Ghana's extractive sector in terms of corporate social practices

3.5 Data Collection

In the statistical analysis and records, the gathering of data is a very important step. Information is gathered using a variety of techniques in research. These data are in two categories, namely primary and secondary data collection (Douglas,2015). Primary data collection is records or data gathered firstly by the researcher to provide solutions to the problem whilst secondary data collection is data already collected by others for other purposes. It takes a lot of effort to acquire primary data. As opposed to this, the process of gathering secondary data is quick and simple. “Primary data is real-time data whereas secondary data relates to the past” (Mesly,2015). This study focuses on the corporate social responsibility initiatives report of the extractive firms in Ghana in the year 2022.

3.6 Data Analysis

Creswell's (1994, 1998) discussed a grounded theory study design. Data analysis in qualitative studies was “the process of bringing order, structure and meaning to the mass of collected data. It is described by Bryman and Bell (2011: 717) cited in Graue, (2015) as "an approach to documents that emphasizes the role of the investigator in the construction of the meaning of and in texts." The study focuses on qualitative content analysis using the annual report of Tullow Oil Ghana Company Ltd for the interpretation of the data collected.

Content Analysis are guided technique used to analyze the contents of textual data. It involves codifying qualitative information into well-defined presentations and reports (Mayring, 2004). The study critically employs Meaning-Oriented Content Analysis (MOCA) in interpreting and analyzing Tullow’s report in detail. In the process of using MOCA analysis, corporate social

responsibility initiative problems that arise were categorized into Education, Health and Safety, Ethical Conduct, Social and environmental issues, and Other issues.

3.7 Chapter Summary

The methods and methodology utilized to acquire, compile, and analyze data to respond to the research questions provided in Chapter One were covered in this chapter. Overall, three key issues with CSR practices were found after obtaining the relevant data, and these issues are connected to social, environmental, and other CSR alternatives. Several themes and sub-themes emerge as a result of this: Education, Health and Safety, Ethical Conduct, Social and environmental issues, and Others.

CHAPTER FOUR

PRESENTATION, ANALYSIS, AND INTERPRETATION OF DATA

4.0 Introduction

This chapter shows a critical review of data from the 2022 annual reports of Tullow Oil Ghana Company Ltd which involves a careful examination and scrutiny of the raw data to address research issues and objectives of what CSR practices are engaged in, and why and how these CSR practices are carried out. The discussion is organized thematically around the CSR initiatives that were taken from the annual reports.

4.1. Corporate social responsibility practices in Tullow Oil Company.

Tullow Oil Company's annual report is a thorough 52-page document that primarily highlights the company's Corporate Social Responsibility (CSR) activities. In this report, the company outlines a more comprehensive sustainability framework in addition to highlighting its CSR initiatives. This strategy with the Sustainable Development Goals (SDGs), a global framework. Tullow Oil describes its social responsibility initiatives and its strategic commitment to sustainability, reflecting its commitment to tackling the major global issues mentioned in the SDGs. The company's holistic approach, which integrates CSR practices and a strong sustainability strategy to contribute to societal and environmental well-being positively is analyzed in the reports.

Our sustainability framework includes 15 sustainability material topics which are clustered in four pillars. Each pillar and its related topics also directly contribute to the advancement of 7 United Nations Sustainable Development Goals (SDGs)... We also considered sustainability trends impacting our industry and global priorities reflected in the SDGs. (Tullow Oil Plc Sustainability Report, 2022, p.7).

In this study, the report indicates two major thematic areas that would be focused on namely; Environmental and Social areas of Tullow Oli Plc. The study also identifies four key areas (sub-

themes) of CSR and sustainability initiatives which were discovered under the environmental activities. These are sub-themes are;

1. Biodiversity Conservation
2. Climate Change
3. Waste Management
4. Water Conservation

Tullow Oil Plc's 2022 CSR and Sustainability report incorporates a wide range of perspectives, opinions, and inputs from its global operations. The report links the key sub-themes under the environmental impacts to the research questions presented in the first chapter by methodically analyzing them. The annual report also Tullow Oil's CSR and sustainability initiatives offer insightful information on the company's efforts to and performance in these important areas.

4.2.0 The key areas for corporate social responsibility practices in Tullow Oil Ghana Company Ltd.

Tullow Oil Ghana Company's focus is mostly centered on CRS practices of their operations as well as contributing massively in other to maintain sustainability in the society. The key areas in which CSR practice can be classified are grouped into four focal sub-themes. Given these areas, the company seeks to highlight social responsibility practices in sustaining environmental stewardship, climate change, collective actions for water stewardship, and biodiversity. Tullow has the ability and the intention of practicing sustainability but along with their operational activities, they also end up practicing CSR activities which are directly affected by the people of the communities, promoting sustainable development to both society and humans. The literature reviewed in this study of chapter two would assist to explain and discuss the CSR initiatives of

Tullow Oil Ghana Company. Tullow Oil Ghana Company in Corporate Social Responsibility (CSR), particularly focusing on legitimacy, suggests a strategic approach that aligns with the company's commitment to maintaining a positive and credible image in the eyes of its stakeholders. Research also reveals that companies rather maintain their legitimacy but do not seek legitimacy (De Villiers et al., 2014). The concept of the "social contract" between the organization and society is the foundation of it. According to Deegan (2002) and Guthrie & Parker (1989), organizations obtain legitimate status from society and are authorized to use capital and resources. In exchange for society's approval of its continued existence, the organization uses its resources to produce and deliver goods and services or engages in a variety of other activities. More so, Tullow's CSR focus areas can be achieved and grouped by relating them to Carroll's CSR pyramid. Tullow's efforts to conserve biodiversity and practice environmental stewardship may reveal its ethical responsibility, which demonstrates the company's dedication to acting morally and beyond the law. Also, the legal obligations are met by adhering to compliance initiatives (environmental rules and waste management laws), which are in line with Carroll's second layer of CSR. Through ensuring the long-term sustainability of its operations, Tullow Oil's activities in health and safety, as well as climate change, contribute to economic responsibility. The company's financial sustainability depends on addressing the risks associated with climate change and advancing worker health and safety.

4.2.1 Biodiversity Conservation

The 2022 CSR and Sustainability annual report of Tullow Oil Ghana Company reviews their CSR practices in five sub-areas under environmental activities and biodiversity conservation is immediate that Tullow focuses on in their operational activities. For many years, environmental stewardship and ethical business practices have been central to the CSR and sustainability

conversation. Asare et al. (2021) state that a variety of legitimation techniques are used in environmental stewardship and responsible operations (CSR discharge), such as image enhancement, avoidance and deflection, and disclaimer tactics. Furthermore, Asare et al. (2021) emphasize that a strategy that a corporation can employ to preserve its social license to operate is the establishment and expansion of image enhancement strategies. The company can develop initiatives to maintain and safeguard biodiversity in the geographical areas in which it operates. These initiatives can involve safeguarding species that are in danger, maintaining ecosystems, and maintaining total biodiversity.

Tullow is committed to protecting the biodiversity of the regions in which we operate, and we strive to minimize negative impacts on biodiversity at the planning, exploration, development, and decommissioning phases of our activities. (Tullow Oil Ghana Company Annual Report CSR Practices, 2022, p. 36).

More so, the areas where Tullow performs its operational activities are likely exposed to society (humans and other living species). In order to maintain legitimacy and obtain the social license to operate in society, Tullow undergoes sustainable and CSR practices which are reviewed as environmental stewardship by which the company undertakes biodiversity conservation actions to maintain their legitimacy in society. Tullow's operations are certified under the Environmental Management System Standard ISO14001 which monitors and regulates their operational activities to preserve biodiversity. (ISO 14001 is evident in their 2022 annual show that;

Our Ghana operations are certified to ISO 14001 Environmental Management Systems Standard, ensuring that the systems and processes we apply to our key operating assets are consistently maintained. We aim to comply with all applicable environmental laws and regulations in all the countries in which we operate.

- All oil field infrastructure is hydrocarbon-free. The potential for oil or gas leaks is eliminated by plugging and abandoning wells.
- All above and below-surface infrastructure is removed and responsibly disposed of in accordance with As Low As Reasonably Practicable (ALARP) principles.

In addition, Tullow exhibits a robust dedication to environmentally responsible strategies when decommissioning assets within their operational zones. Achieving hydrocarbon-free infrastructure, minimizing adverse environmental effects at oil field locations, and guaranteeing legal and regulatory compliance are some of their objectives. This illustrates Tullow's commitment to decommissioning procedures that are sustainable, environmentally friendly, and compliant with the law. They clearly state that,

As we exit exploration or development operations in our host countries, our objectives are to leave oil field sites with no negative impacts on biodiversity or other environmental implications. We maintain a highly skilled team to manage outsourced professionals and specialist service providers to decommission our assets, ensuring that...All oil field infrastructure is hydrocarbon-free... The potential for oil or gas leaks is eliminated by plugging and abandoning wells. (Tullow Oil Ghana Company Ltd CSR Practices, 2022, p.36).

In conclusion, Tullow Oil Ghana Company's 2022 Annual Report highlights the company's dedication to sustainability and corporate social responsibility (CSR). The company's operational procedures place a high priority on environmental operations, especially the conservation of biodiversity. Drawing from Asare et al. (2021) view of perspective, Tullow maintains its social license to function by using legitimization strategies like image enhancement. To comply with environmental legislation, the company maintains consistent systems and procedures through sustainable practices and environmental stewardship, in line with ISO 14001 standards. Tullow is committed to decommissioning, achieving hydrocarbon-free infrastructure, and removing harmful environmental effects. Tullow's dedication to sustainable, eco-friendly, and legally compliant activities is shown in this all-encompassing strategy.

4.2.2. Climate Change

Tullow's strategy CSR initiatives include climate change as a key element. Through the implementation of different initiatives aimed at reducing its environmental effects and promoting sustainability, the company has made climate change a priority in its CSR operations. Tullow

prioritizes minimizing carbon emissions, enhancing the energy economy, and implementing eco-friendly technologies across its whole range of business activities. This commitment to climate change is guided by pragmatic legitimacy which is a strand of legitimacy theory that posits that social practice is aligned with the pragmatic legitimacy theory idea, whereby society perceives the company as legitimate in light of the benefits society derives from the firm. (Suchman, 1995). This theme focuses on reducing carbon emissions, improving energy efficiency, and adopting environmentally responsible technologies throughout its operations. This is clarified in the report as:

A key focus of our environmental efforts is our contribution to mitigating the effects of global climate change through our commitment to Net Zero. Additionally, we aim to minimize our water and waste impacts while protecting biodiversity. (Tullow Oil Ghana Company Ltd CSR Practices, 2022, p.30).

Also, Tullow Oil Ghana Company Ltd has strategies for managing climate-related risks. Tullow employs risk management strategies to improve its ability to withstand and adjust to the implications of climate change on its business operations. To ensure the long-term sustainability of its commercial activities, Tullow exhibits a commitment to tackling the challenges posed by climate change. This is stated in the annual report as;

In line with our belief that fossil fuels will remain part of the global energy mix for some time and that oil and gas resources must be developed and produced responsibly, we have committed to and defined a pathway to achieve Net Zero on our Scope 1 and 2 net equity emissions by 2030, supporting our host countries in benefitting from the responsible development of natural resources wealth. (Tullow Oil Ghana Company Ltd CSR Practices, 2022, p.33).

The operations of Tullow may have both negative and positive climate-related risk assessments. Based on the three segments (upstream, midstream, and downstream) of oil and gas extraction, Tullow has implications of climate-related risk at each level of the streams and these risks are identified and quantified through the Enterprise Risk Management Process. According to Furman et al. (2017), the upstream mainly emphasizes the exploration and production of hydrocarbons,

while the downstream is primarily focused on turning produced raw hydrocarbons into useful and marketable goods and the midstream includes transportation, storage, and sale of crude oil, refined petroleum products, natural gas, and petrochemicals. This is reviewed in Tullow's annual report as follows

Tullow considers climate-related risks and opportunities as an upstream exploration and production company with limited exposure to impacts in the downstream and distribution aspects of the oil and gas sector. We continue to examine the interconnection of climate-related and other risks identified through our enterprise risk management processes, which provide a systematic approach to understanding, evaluating, and addressing risks to ensure strategic objectives are achieved. (Tullow Oil Company Ltd CSR Practices, 2022, p.33).

Promoting sustainability and CSR practices by minimizing carbon emissions, the company needs to adhere to the climate change of the society through legitimacy. This legitimacy maintained by the company gives a social contract between the society and defines the society's norms and socially acceptable behavior and industry as stated by Deegan, 2014; Gray et al., (1996); Shoker and Sethi, (1974).

In conclusion, Tullow Oil's commitment is extensively guided by the legitimacy theory which posits that that companies need to act in a way that is perceived as socially responsible to maintain their legal and social license to operate.

4.2.3. Waste Management

The 2022 CSR and Sustainability report of Tullow Oil Ghana Company highlights waste management practices and waste recycling as one of the major key focuses of CSR practices. Waste management is a crucial component of the company which is highly recognized in their operational activities. The company incorporates waste reduction measures across its activities, follows legal requirements, and uses appropriate disposal techniques. Tullow's commitment to environmental stewardship and corporate social responsibility ensures that waste produced during

exploration, production, and decommissioning activities is managed effectively. This is the report evidence;

We aspire to reduce waste generated by our operations with a specific objective of achieving zero waste to landfill at all our sites. In 2022, 74% of our waste was recycled or re-used and 17% was landfilled. (Tullow Oil Ghana Company Ltd CSR Practices, 2022, p.34).

Tullow Oil Company has implemented and organized waste segregation and management programs alongside its operations to reduce environmental impact and protect environmental stewardship.

At Tullow Ghana, we have continued to implement a rigorous program of waste segregation and waste management, aiming to reduce waste at source and recycle wherever possible. All wood and fibred waste are recycled, and we reduce plastic waste by eliminating single-use plastics from our offices and offshore operations. The remaining plastic waste is recycled to make pavement blocks and other goods. (Tullow Oil Ghana Company Ltd CSR Practices, 2022, p.34)

In addition, Tullow extractive operations align with Environmental Management System Standard ISO 14001 for waste management. This is an international standard that provides a guideline framework for companies to maintain effective environmental management activities. (ISO 14001;2015). This standard ensures that the company's activities meet regulatory and environmental standards.

For the first time, we achieved zero waste to landfill over two months at our Jubilee FPSO, and we continue to embed waste awareness and practices to ensure this is maintained. (Tullow Oil Ghana Company Ltd CSR Practices and EMS, 2022, p.34).

Waste management is incorporated by the environmental standards of Tullow Oil Ghana Company Ltd and these standards stemmed from the Environmental Management System (EMS) and the Global Reporting Initiatives (GRI). Tullow Oil Ghana Company Ltd provides data on waste created, recycled, and disposed of by the GRI Standards, which include particular waste-related indicators. As part of broader efforts to promote sustainability, GRI promotes accountability and transparency in reporting waste management methods. (GRI, 2018). It delineates the primary responsibilities for improving the caliber of information sent to stakeholders and offers several

advantages to enterprises that comply. Furthermore, according to Brown et al. (2009), it directs businesses to attest to both the favorable and unfavorable results of their sustainable growth strategies.

Conclusively, Tullow Oil Ghana highlights recycling and waste management as part of its CSR initiatives in its 2022 CSR report. The company's dedication to sustainability is demonstrated by its efforts to reduce waste, reach zero-landfill, and recycle a sizable amount of its trash. Programs for reducing waste and adhering to ISO 14001 demonstrate Tullow's commitment to environmental management. Achievements such as the company's zero-waste-to-landfill ratio highlight its commitment to environmental practices. Tullow's environmental standards, which are based on EMS and GRI, guarantee legal observance and openness in reporting on waste. Tullow's CSR, taken as a whole, shows a significant commitment to sustainability and environmental responsibility.

4.2.4. Water Conservation

Water conservation is a crucial aspect of Tullow Oil Ghana Company Ltd. The company seeks and recognizes that it has a responsibility to play in the preservation and conservation of water bodies along the areas it operates to support both aquatic lives and the livelihood of the society to promote long-term sustainable development. Tullow's engagement and commitment to water conservation is guided by local and international environmental standards such as ISO 14001 standards which demonstrate that the company adheres to this standard to demonstrate commitment to effective environmental management. By adhering to ISO 14001 standards and demonstrating a commitment to water conservation, Tullow upholds its credibility by managing its operations responsibly. The company's continuous social license to operate in a way that conforms to societal expectations and is perceived as socially responsible is supported by the

legitimacy theory. (Effendi, 2020). This component of CSR practices is focused on the efforts Tullow contributes to protecting aquatic lives and waterbodies. This is represented in the report as;

...we continued our management of community water boreholes for the benefit of local communities in our operating regions At Tullow, we aim to minimize our water impacts. In 2022, more than 83% of our water withdrawal was from seawater, with zero withdrawal from surface water sources or areas of water stress.... However, more than 99% of our total water withdrawn was discharged back to the sea, after treatment. (Tullow Oil Ghana Company Ltd CSR Practices, 2022, p.34).

The industry is also involved in the supply of water to communities by constructing boreholes and preserving the water using non-poisonous and hazardous chemicals in its purification which is a way of contributing the water conservation management. Maintaining a positive corporate image is crucial in legitimacy theory as stated by Parameswaran PhD & Glowacka PhD (1995). Stakeholders view Tullow more favorably because of its initiatives to provide water and employ ecologically friendly purifying techniques. Moreover, Tullow establishes waste management programs in other to conserve and maintain by society as well. These programs will help strengthen the environment from environmental diseases. Tullow presents this as;

On average, almost 20,000 households benefit from our water distribution which reaches approximately 4,000 cubic meters of water per year... we continued our management of community water boreholes for the benefit of local communities in our operating regions. (Tullow Oil Ghana Company Ltd CSR Practices, 2022, p.34).

Therefore, Tullow Oil Company is committed to water conservation which aligns with the legitimacy theory, which says that companies need to act in a way that is perceived as socially responsible to maintain their social license to operate.

The second major area of Tullow Oil Ghana Company Ltd is the social CSR initiatives. Under the social activities, there are four main sub-themes. These sub-themes include;

1. Health and safety

2. Community development

3. Human rights

4.2.5. Health and Safety

Tullow Oil's commitment to health and safety reflects a core value placed on the well-being of its workforce and the communities where it operates. Health and safety are highly valued across Tullow Oil's activities. To safeguard the welfare of its employees and the communities in which it works, the company is committed to upholding strict standards.

Tullow invests in creating a safe workplace for all Tullow employees and contractors working on our sites, wherever they are. As a core pillar of our sustainability approach and supported at the Board level through the Safety and Sustainability Committee of the Board of Directors, safe operations are at the forefront of our daily work and an important element of decision-making at every stage of our operations. (Tullow Oil Ghana Company Ltd CSR and Sustainability practices, 2022, p.11).

Under health and safety, the firm has two major areas in which it focuses. Thus, occupational health and safety and process safety.

Emphasizing the occupational health and safety of Tullow Oil, the company ensures the well-being of its employees and develops a safe working environment. Tullow has well-defined occupational health and safety policies and procedures in place. Also, talking about the risks involved in its operations, the company identifies risk by engaging in risk assessment thus, identifying potential hazards, evaluating risks, and ways to mitigate those risks effectively.

This is demonstrated by Tullow Oil Plc as follows;

A step towards ensuring that we maintain an injury-free workplace is addressing high-potential incidents (HiPos). With seven HiPos in 2022, the threat of a serious safety incident remains a concern. To reinforce safety thinking and practice, and reduce the chances of work-related injuries, we conducted incident investigation training with regular fortnightly coaching to embed investigation practices. (Tullow Oil Plc, 2022, p.12).

Process safety is another focus of the company classified under health and safety. Tullow as an extractive industry in the mining of oil uses all other kinds of hazardous chemicals in its extraction activities. This focal activity which is process safety is established and implemented by Tullow for the prevention of major operational accident hazards such as fires, explosions, and toxic chemicals used for the production of process fluids. Tullow has a process safety management system that sees to the prevention of risks and hazards. This management system aligns with the standards that guide the operations of the company such as the GRI and ISO 14001.

Tullow Oil reiterates this as:

Tullow's process safety management system includes policies, standards, and risk management activities covering all our operations from exploration, during production through to decommissioning. Our systems aim to ensure that all hazards with the potential to lead to major accidents are identified and measures are undertaken to prevent and limit their consequences to people and the environment, to reduce risks to As Low As Reasonably Practicable (ALARP). (Tullow Oil Plc annual report, 2022, p.13).

Health and safety of the employees and the areas of operations is one major the primary objectives of the firm. To prevent health risks and accident hazards associated with their operational activities agrees with Gray et al.'s (1995) view on legitimacy. According to Deegan and Brown, (1998), health and safety procedures are in line with the "Social" strand of legitimacy theory. Companies show their dedication to moral behavior and the welfare of society. Tullow put employee and stakeholder health and safety first in line with society's expectations for morally and responsibly conducting business. This alignment contributes to the organization's social license to operate by strengthening its legitimacy in the eyes of the general public.

In conclusion, Tullow Oil prioritizes health and safety, ensuring a secure workplace for employees and the operations of the company. The company implements policies, conducts risk assessments, and provides incident investigation training. Process safety is also prioritized, adhering to GRI and

ISO 14001. Tullow's proactive measures align with the "Social" strand of legitimacy theory, promoting societal well-being and reinforcing its social license to operate.

4.2.6. Community Development

A key component of Tullow Oil's sustainability and corporate social responsibility (CSR) strategy is its dedication to community development, which shows the company's understanding of its obligation to promote the social and economic advancement of the areas in which it operates. Tullow's commitment to integrating community viewpoints into its decision-making processes is demonstrated by its involvement with local communities and its response to their needs and concerns. Tullow complies with legitimacy theory by upholding human rights, putting worker and community safety first, and promoting sustainable development. This strategy represents the knowledge that for businesses to keep their social license to operate, they must uphold cultural norms and exhibit social responsibility. (Deegan, 2014; Gray et al., 1996; Shoker and Sethi, 1974). This is presented in the annual report as;

Prosperity is attainable when communities have access to reliable and affordable energy that enables people households and communities to improve their quality of life. It supports businesses that create local jobs and improves access to health, water, and education. Tullow facilitates this through the responsible operation of our assets zero tolerance for corruption and continuous tax transparency. (Tullow Oil Ghana Company Ltd, 2022, p.16).

Tullow's efforts to make energy more accessible and reasonably priced are consistent with the idea of legitimacy, specifically the instrumental perspective. This theory postulates that businesses participate in socially conscious endeavors to acquire or retain the support and approval of their stakeholders and communities. Scholars like Suchman (1995) contend that companies participate in environmentally responsible initiatives as a means of reinforcing their legitimacy and ensuring stakeholders' ongoing support. In industries where energy access is critical for community development, Tullow's pledge to provide dependable and reasonably priced energy can be

interpreted as a calculated move to establish legitimacy and conform to public expectations. Carroll's CSR Pyramid outlines duties that are philanthropic ethical, legal, and economic. (Carroll, 1999). By promoting legitimacy and societal well-being, Tullow's energy access facilitation falls under the category of charitable giving. As noted by scholars such as Dunning (2013), Tullow's work helps to create a positive social license to operate. To ensure that a company's operations are viewed as advantageous and acceptable, local communities must give a social license as presented in the annual report;

We do all we can to prepare our staff to rapidly adapt and respond to unforeseen events to maintain business continuity and minimize negative impacts on people, the environment, our physical and intellectual assets, and our reputation. Our detailed and careful implementation of asset protection-related policies, standards, and plans incorporates security and business continuity. (Tullow Oil Ghana Company Ltd, 2022, p.13).

Tullow Oil's sustainability and CSR strategy emphasizes community development, integrating community perspectives into decision-making processes. The company upholds legitimacy theory by upholding human rights, promoting sustainable development, and maintaining cultural norms. Tullow's efforts to make energy more accessible and affordable align with the instrumental perspective, which suggests businesses participate in socially conscious endeavors to gain or retain stakeholders' support. Tullow's commitment to providing reliable and affordable energy is seen as a calculated move to establish legitimacy and conform to public expectations. Tullow's energy access facilitation falls under the category of charitable giving, creating a positive social license to operate. Local communities must give a social license to Tullow's operations.

4.2.7. Protecting Human Rights

Tullow Oil's stance on human rights protection is consistent with global efforts to guarantee ethical business practices as well as the tenets of corporate social responsibility. John Ruggie, who was instrumental in the creation of the United Nations Guiding Principles on Business and Human

Rights (UNGPs), is one expert who is pertinent in this context. The UNGPs give businesses a framework for upholding human rights throughout their whole business. Ruggie's study presented in 2011 highlights how companies must prevent negative effects on human rights, to mitigate those effects when they arise, and to redress them when they do. Tullow's commitment to moral behavior, social responsibility, and the preservation of human rights is further demonstrated by its affiliation with the UNGC and VPSHR. Businesses are urged by the UNGC to implement sustainable and socially conscious policies. The organization strives to resolve concerns on human rights compliance in line with regional legislation and global norms. According to the legitimacy theory, companies seek to conform to society's norms and expectations to keep their social license to operate. (Deegan, 2009). In this regard, Tullow's attempt to make sure that its operations are seen as socially responsible and in line with wider community expectations is reflected in its handling of human rights concerns in compliance with both local laws and international standards. However, it has been demonstrated that one mining corporation has implemented these initiatives through a manager's human rights guide (Jones et al., 2007; Kapelus, 2002). These practices adopted to protect human rights are highlighted in the 2022 Sustainability and CSR Report:

Tullow's Human Rights Policy is aligned with the provisions established in leading international instruments such as the Universal Declaration of Human Rights, the UN Guiding Principles on Business and Human Rights, the Voluntary Principles on Security and Human Rights (VPSHR), and the ILO Declaration on Fundamental Principles and Rights at Work and related ILO conventions. We are committed to upholding human rights throughout our operations through ongoing monitoring and due diligence before entering a new host country and during our presence continuously. (Tullow Oil Ghana Company Ltd CSR and Sustainability report, 2022, p.40).

More so, Tullow Oil has developed some standards that will aid in protecting the rights of humans especially stakeholders and employees as well the society. These frameworks and standards assist its commitment to respecting and promoting human rights in its operations. This also helps the company to demonstrate transparency.

4.3. How Tullow Oil Ghana Company Ltd Discharge CSR Practices.

Tullow's sustainability and CSR report not only enumerates key sustainability areas but also provides an in-depth examination of how these practices are implemented. This comprehensive reporting is essential to foster transparency and accountability, underscoring the company's commitment to ethical business practices. Sustainability and CSR practices an important driver for a company's efforts toward becoming more sustainable (Lozano and Huisinigh, 2011). Furthermore, Tullow Oil Company's CSR practices are guided by legitimacy theory, which posits that companies need to act in a way that is perceived as socially responsible to maintain their social license to operate (Deegan, 2019). Also, Tullow Oil Company aligns with various standards such as ISO 14001(Environmental Management System), Global Reporting Initiatives Standard (GRI), United Nations Global Compact (UNGC), Voluntary Principle on Security and Human Rights (VPSHR), and the United Nation Guiding Principles (UNGP) which provides guidelines for CSR reporting practices.

4.3.1 Biodiversity Conservation

Tullow Oil Ghana Company fulfills its CSR initiatives by preserving biodiversity to protect and sustain diverse ecosystems. International Standards such as IUCN serve as a guidelines framework for managing biodiversity impacts and also complying with local, and national standards as well. Tullow Oil Company Ltd minimizes negative impacts on biodiversity by the practice of decomposition of assets which enables their oil field site to be freed by no environmental impact such as free hydrocarbons. CSR activities may include projects focused on adapting to the impacts of climate change. Tullow might engage in initiatives that enhance the resilience of communities and ecosystems to climate-related challenges. The reviewed strategies are embedded in the 2022 Tullow's Sustainability and CSR report as follows;

Tullow is committed to protecting the biodiversity of the regions in which we operate, and we strive to minimize negative impacts on biodiversity at the planning, exploration, development, and decommissioning phases of our activities. As we exit exploration or development operations in our host countries, our objectives are to leave oil field sites with no negative impacts on biodiversity or other environmental implications. We maintain a highly skilled team to manage outsourced professionals and specialist service providers to decommission our assets, ensuring that:

- All oil field infrastructure is hydrocarbon-free. (Tullow Oil Company Ltd CSR and Sustainability report, 2022, p.36).

To fulfill certain contextual requirements, Tullow Oil stresses compliance with national and local legislation in addition to global norms. Tullow's corporate social responsibility initiatives take a comprehensive approach to biodiversity protection, integrating global, regional, and sector-specific guidelines. The company hopes to demonstrate its commitment to sustainability and ethical business practices by balancing its operating activities with the preservation of natural ecosystems through these efforts.

4.3.2 Climate Change

Climate change is one main focus of Tullow Oil Company Ltd in achieving the sustainability goals and CSR practices. To combat climate change and show its commitment to sustainable operations, Tullow Oil regularly participates in Corporate Social Responsibility (CSR) initiatives. The business recognizes how critical it is to minimize its environmental effects and support global efforts to tackle climate change. By integrating these CSR practices, such as emission reduction, Tullow Oil aims to actively contribute to climate change mitigation, adhere to environmental standards, and promote a more sustainable future. These are highlighted in the 2022 report of Tullow Oil Company;

In line with our belief that fossil fuels will remain part of the global energy mix for some time and that oil and gas resources must be developed and produced responsibly, we have committed to and defined a pathway to achieve Net Zero on our Scope 1 and 2 net equity emissions by 2030, supporting our host countries in benefitting from the responsible development of natural resources wealth. We continued to test the resilience of our portfolio against International Energy Agency scenarios: The Net Zero Emissions by 2050 Scenario, Announced Pledges Scenario, and Stated Policies Scenario. (Tullow Oil Company Ltd CSR practices, 2022, p.33).

As a way of tackling climate change issues, Tullow Oil Company adheres to different standards and ways of reducing the climate change effects globally. Climate change is an important issue for the oil industry and all companies treat this seriously (Boasson, 2009). Tullow Oil is actively implementing Corporate Social Responsibility (CSR) practices to address climate change and promote sustainable business operations. To effectively combat global warming, there must be a worldwide accord, coordinated policies, and social mobilization including producers and consumers from every industry (Andrade & Puppim de Oliveira, 2015; Munasinghe, 2010). The company is implementing emissions reduction strategies, investing in renewable energy projects, and focusing on climate change adaptation. It may also participate in carbon offsetting programs or set ambitious net-zero emission goals. Tullow engages with stakeholders, including local communities and environmental organizations, to develop sustainable practices aligned with climate change goals. The company publishes transparent sustainability reports, providing stakeholders with insights into its commitment to environmental sustainability.

4.3.3 Waste Management

As part of its Corporate Social Responsibility (CSR) and environmental stewardship initiatives, Tullow Oil is dedicated to using efficient waste management techniques. Tullow aligns with ISO 14001 EMS standard. This international standard provides guidelines for mitigating, establishing, implementing, and maintaining environmental management systems. The company is committed to reducing its environmental effects, and waste management is an essential part of this effort. The company also implements waste management programs for society and also recycles waste for different purposes. This is shown in the report as;

At Tullow Ghana, we have continued to implement a rigorous program of waste segregation and waste management, aiming to reduce waste at source and recycle. As a result, we reduced total non-hazardous waste by 25% in 2022, diverting more non-hazardous waste from landfills (69% in 2022 compared to 38% in 2021). (Tullow Oil Company Ltd CSR Practices, 2022, p.34).

Furthermore, adhering to ISO14001 environmental standards gives the company the social license to operate within the society.

4.3.4 Water Conservation

One of the main pillars of Tullow Oil's environmental management and Corporate Social Responsibility (CSR) programs is its commitment to water conservation. The company emphasizes the value of using water responsibly across its operations, demonstrating its commitment to sustainable practices. This pledge demonstrates Tullow's understanding of the effects that water use has on the environment and its role in encouraging the use of resources in a more responsible and environmentally sensitive manner. Tullow Oil demonstrates its commitment to environmental care and harmonizes its company practices with wider sustainability goals by giving priority to water conservation. This is presented in the annual report;

At Tullow, we aim to minimize our water impacts. In 2022, more than 83% of our water withdrawal was from seawater, with zero withdrawal from surface water sources or areas of water stress. We recorded a 6% increase in water withdrawal in 2022, principally to support reservoir management. However, more than 99% of our total water withdrawn was discharged back to the sea, after treatment. (Tullow Oil Company CSR Practices, 2022, p34).

Tullow also takes the cost of creating boreholes for community usage. Boreholes are essential for providing communities with access to clean and reliable water sources, addressing a basic human need according to Maslow's hierarchy of needs. Tullow Oil is prioritizing water access for community well-being, health, and development, fostering sustainable practices, and supporting local businesses, health services, and education.

4.3.5 Health and Safety

Tullow Oil places a high priority on health and safety in its operations, and it is committed to providing a secure work environment for both its workers and contractors. Through a variety of

initiatives and procedures, as delineated in its CSR and Sustainability standards, Tullow Oil highlights its dedication to health and safety. The company's health and safety policy is comprehensive, encompassing well-defined procedures and policies to ensure the well-being of its workforce, fostering a safe working environment. This is stated as;

Tullow has achieved a full year of global injury-free operations. It comes as the cumulative result of continuous reinforcement of our safety leadership, culture, and practices over several years and throughout 2022. A step towards ensuring that we maintain an injury-free workplace is addressing high-potential incidents (HiPos). With seven HiPos in 2022, the threat of a serious safety incident remains a concern. To reinforce safety thinking and practice, and reduce the chances of work-related injuries, we conducted incident investigation training with regular fortnightly coaching to embed investigation practices. (Tullow Oil Company Sustainability and CSR report, 2022, p.12).

Tullow's sustainability approach places a high priority on safety, a commitment that is endorsed by the Board of Directors' Safety and Sustainability Committee. The business makes investments to provide a secure work environment with clearly defined occupational health and safety regulations for all workers and contractors. Tullow conducts risk assessments to find possible threats and puts in place practical countermeasures. A process safety management system is used to detect and handle possible dangers, preventing significant accidents and lowering risks to As Low as Reasonably Pragmatically Possible. High-potential situations are dealt with quickly.

4.4 Motivations for Sustainability and CSR Reporting Practices

Tullow Oil's motivations for engaging in sustainability practices can be understood through various lenses, and the company's sustainability report likely sheds light on these motivations. The operational activities of firms can be traced to their sustainability reports, and the motives behind every firm's sustainability practices are highlighted in their sustainability reports both implicitly and explicitly. Even though other factors are not explicitly stated in the sustainability report as the motivations for AngloGold's sustainability practices, these factors are hinged on three core reasons: legitimacy, business sustainability, and community goodwill.

4.4.1 Legitimacy Theory

According to Deegan's (2002) legitimacy theory, businesses should follow socially conscious policies to stay legitimate and satisfy the expectations of the public. CSR reports frequently show this, indicating Tullow's dedication to moral and ethical business practices. Legitimacy is the core motive behind the involvement of Tullow Oil Company in the discharge of sustainability reporting practices. Also, Legitimacy theory posits that society allows organizations to exist only if their activities are perceived to be legitimate. These activities are defined by a social contract between the organization and society that defines society's norms of socially acceptable organizational behavior (Deegan, 2014; Gray et al., 1996; Shoker and Sethi, 1974). The report clearly stated that;

Equality and transparency are foundational elements of building trust. We aim to foster trust-based relationships across all our interactions both within our business and with external stakeholders. Our commitment to building trust through equality and transparency means living our values, conducting ourselves in an ethical and compliant manner, operating within a framework of robust corporate governance, and maintaining positive partnerships and community relationships. (Tullow Oil Company Ltd CSR Practices, 2022, p.37).

Tullow Oil Company recognizes the need to uphold its credibility and, as a result, has put in place several sustainability projects meant to improve its performance in the social, economic, and environmental spheres.

4.4.2. Compliance and Regulation

One of the main reasons Tullow Oil participates in Corporate Social Responsibility (CSR) initiatives is to comply with national and international laws and regulations. Through CSR programs, Tullow may demonstrate its dedication to moral and ethical business practices while also adhering to environmental, social, and governance (ESG) criteria. This dedication enhances the business's overall credibility and benefits society. According to legitimacy theory, companies participate in CSR activities to stay compliant with social norms and preserve their right to do business (Suchman, 1995). Tullow wants to establish credibility with stakeholders and the general

public for its activities by adhering to ESG norms and regulations. This is consistent with the business's pledge to behave in a socially conscious manner (Effendi, 2020). This is presented in the report as;

Robust corporate governance, strict compliance, and an ethical culture and practice are the fundamentals of any successful business. At Tullow, we aim to build positive relationships and partnerships across our entire spectrum of activities and interactions, engaging honestly, openly, and transparently on a foundation of trust. Trust starts with establishing and fostering dependable governance and compliance practices and building a culture in which everyone is invested in doing the right thing. (Tullow Oil Company Ltd CSR Practices, 2022, p.38).

Tullow Oil Company Ltd prioritizes strong corporate governance, strict compliance, and ethical practices for success. They aim to build positive relationships, engage transparently, and build trust through honesty, openness, and transparency.

4.4.3 Business Sustainability

To meet the requirements of the present without compromising the ability of future generations to meet their own needs, businesses must integrate environmental, social, and economic factors into their operations. This is known as business sustainability. Corporate Social Responsibility (CSR), which focuses on how companies can positively impact society and the environment beyond their basic economic goals, is a crucial element of business sustainability. The concept behind the Tullow Oil Business Sustainability Case is in line with the conclusions of Kramarz (2022), who holds that a company's sustainability practices should be focused on ensuring the company survives for future generations as well as environmental, social, and economic interests. In the contemporary business environment, the use of business sustainability as a motivating factor for fulfilling corporate social responsibility has grown in significance.

“As a business that depends on the natural environment to deliver value to host countries and all stakeholders, Tullow is acutely aware of the interdependencies between the business, the natural environment, and the communities who enjoy the benefits Tullow’s business brings. The Board of Directors is committed to overseeing Tullow’s approach of acting with the utmost respect to nature

and creating sustainable value.” (Tullow Oil Company Ltd Sustainability and CSR practices, 2022, p.30).

Tullow Oil Company Ltd, a business reliant on the natural environment, recognizes the interconnectedness between its operations, the environment, and its stakeholders. The Board of Directors is dedicated to promoting sustainable value creation.

4.5 Chapter Summary

This chapter provides a comprehensive analysis of Tullow Oil Company's 2022 Sustainability and CSR Report. By utilizing the methodology and techniques outlined in the preceding chapter, the data was categorized into themes and sub-themes, allowing for a thorough assessment and evaluation. The research questions presented in the first chapter were addressed, with the results presented in the report on sustainability and corporate social responsibility being examined through the lens of the theoretical frameworks discussed in Chapter 2.

CHAPTER FIVE

CONCLUSION

5.1 Introduction

This final chapter offers a concise presentation of the primary discoveries and sub-themes examined earlier. Chapter five, which serves as the conclusion of our comprehensive study, outlines how we achieved our research goal, the study's contributions, its limitations, and ultimately, recommendations for future inquiry.

5.2 Summary of the Research

This study aims to investigate the corporate social responsibility (CSR) practices of Tullow Oil Ghana Company Ltd in the extractive industry in Ghana. The study seeks to determine how these CSR practices contribute to the company's performance. To achieve this goal, the study uses Meaning-Oriented Content Analysis (MOCA) to analyze the company's sustainability and CSR reports. The data collected is categorized into major and sub-themes to focus on the company's CSR practices, reasons, and motivations for engaging in them. In addition, the study employs relevant theoretical literature such as the legitimacy theory and the conceptual sustainability CSR reporting framework, including the Global Reporting Initiative and ISO 14001 EMS standards.

5.3 Key Research Findings

This study brings about an investigation of Tullow Oil's operations and reveals a wide range of relevant details on the company's performance, sustainability initiatives, and contributions to the extractive sector. Tullow Oil's sustainability commitment is one of the primary focus of the study. The organization's adherence to global standards, such as the Sustainability Accounting Standards Board (SASB), the Environmental Management System (EMS), the Global Reporting Initiative (GRI), and the guidelines established by the International Council on Mining and Metals (ICMM),

is a sign of a concerted dedication towards transparent and responsible operations of the company. More so, the study delves into the key themes that shape Tullow Oil's Corporate Social Responsibility (CSR) reporting metrics. These themes encompass a diverse array of topics, including biodiversity conservation and health and safety, which underscore the company's dedication to fostering employee well-being, safeguarding the environment, and driving socio-economic progress.

Through a thorough examination of these themes, we can gain a deeper appreciation for the myriad ways in which Tullow Oil is making a positive impact in these critical areas. To gain an understanding of Tullow Oil's involvement in sustainability and corporate social responsibility (CSR) reporting, it's crucial to recognize how company sustainability, community goodwill, and business legitimacy are interconnected. This agrees with the legitimacy theory, which asserts that firms operate in accordance with societal norms and expectations and, as such, engage in operational activities that society deems acceptable and legitimate (Brown and Deegan, 1998). Based on this study, Tullow Oil exhibits a comprehensive dedication to ethical business practices, as evidenced by its adherence to environmental management standards and the GRI Standards.

Finally, this study makes a significant contribution to the field of environmental policymaking. The study provides valuable insights into the development and enforcement of regulations that direct extractive industry companies towards CSR practices that are beneficial to the environment, as well as the well-being of local communities. Policymakers and regulatory agencies can leverage these findings to improve the effectiveness of their legislative tools and policies, thereby promoting environmental preservation, sustainability, and community welfare.

5.4 Research Contributions

This research delves into Corporate Social Responsibility (CSR) practices within the Ghanaian extractive industry, contributing to its understanding and examination. It also enriches the concept of CSR practices in academia, policymaking, and industry, providing valuable insights into the critical concepts and issues unique to developing economies. The study's findings offer significant contributions to the ongoing discourse on corporate social responsibilities and sustainable development in extractive industries.

Moreover, the study presents both theoretical and empirical evidence, enhancing the understanding of CSR practices by drawing parallels with existing literature on legitimacy theory. The study highlights how legitimacy theory serves as a foundational framework for firms, such as Tullow Oil Company, in preparing and presenting information related to their CSR initiatives. Overall, the research provides insights into the nuanced relationship between sustainability, legitimacy, and the performance of firms operating in the extractive industry.

Additionally, the study sheds light on the company's effective engagement in sustainability and CSR practices, leading to its legitimacy gain and social license to operate. It makes a significant contribution to the industry and society in which it operates.

Finally, the study has also made a significant contribution to policymaking agencies, emphasizing the firm's adherence to regulatory bodies, both governmental and non-governmental, promoting how industries carry out their CSR practices.

5.5 Recommendations

The study recommends that all regulatory bodies should make regulations that guide the sustainability and corporate social responsibility practices of a firm mandatory and also

appropriate sanctions should be proposed by these bodies for firms to align with the right doings in their operations. If this is achieved, the destruction of the environment and society will be minimized. Also, vital activities such as the engagement of sustainability and corporate social responsibility practice should be linked to courses in academia and educative programs to enable young individuals to gain a comprehensive understanding of the study of courses. This would help prioritize ethical decision-making, continuous learning, and creating networking opportunities.

5.6 Limitations

This study employed qualitative methodology and methods to derive its findings and analysis, which makes the outcome of the research subjective in nature. Furthermore, the firm's report focused on sustainability report while the research was subjected to a corporate social responsibility practice. This sometimes makes the collection of CSR critical data similar to sustainability data as reviewed in the annual report of Tullow Oil Company Ltd. In addition, future research could concentrate on the CSR practices of firms in other industries and incorporate different data analyses, as this study only examined one industry. Due to limited time and resources, primary data-gathering techniques such as surveys and interviews were not utilized. A fairer assessment of the company's sustainability and CSR report could have been achieved by examining it from the perspective of stakeholders.

5.7 Suggestions for Further Research

To advance future research endeavors, it may be advantageous to utilize a mixed-methods or quantitative approach to gain a comprehensive understanding and analysis of research methods as alternative methods may yield varied outcomes. Furthermore, exploring various firms and industries for comparison and contrast could facilitate valuable insights into how similarities and

differences can inform other companies. Lastly, incorporating both primary and secondary data sources in future studies can bolster the credibility of data collection for the research.

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